POL-003

Credit Risk Capital Adequacy Policy

Corporate & Markets Banking | SME Banking | Group Functions

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About this policy: This policy explains what capital adequacy means for KBC, how we calculate our requirements, and why maintaining financial resilience matters for our customers, employees, and the wider financial system.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KBC holds capital to protect its customers, its creditors, and the financial system against losses. Capital adequacy — maintaining enough of the right kind of capital — is one of the most fundamental obligations of any bank. This policy explains what that means for KBC and what it means for you.

You do not need to be a capital markets specialist to understand this policy. The principles are straightforward: we must hold enough capital to absorb unexpected losses, calculate our requirements honestly and accurately, and never prioritise short-term profits over long-term financial resilience.

2. Who This Policy Applies To

This policy is primarily relevant to employees in credit risk, finance, treasury, capital markets, and risk management. It also applies to relationship managers, underwriters, and product managers whose decisions affect KBC's risk profile and capital requirements.

3. What Capital Adequacy Means and Why It Matters

When KBC makes a loan or takes on a financial exposure, there is a risk that the borrower does not repay. Capital is the financial buffer that absorbs those losses. Without adequate capital, a bank that experiences significant losses can fail — putting depositors, employees, and the broader financial system at risk.

KBC's current Common Equity Tier 1 (CET1) ratio stands at 15.0%, well above minimum requirements. Maintaining that buffer is a strategic priority and a reflection of KBC's commitment to financial stability.

4. How KBC Calculates Its Capital Requirements

KBC calculates its capital requirements based on the risk profile of its assets. Different types of risk attract different capital charges. A mortgage secured against a residential property attracts a lower charge than an unsecured consumer loan, because the collateral reduces the potential loss. KBC uses internally developed models — approved by our supervisors — to calculate many of these risk weights. Accuracy is critical: overestimating risk wastes capital; underestimating risk is dangerous.

5. The Output Floor — A Simple Explanation

Banking regulation includes a safeguard called the output floor. In simple terms, it means that even when a bank uses sophisticated models to calculate capital requirements, the result cannot be lower than 72.5% of what a simpler, standardised calculation would produce.

Think of it this way: the output floor is a sanity check. It prevents banks from using model optimisation to reduce their capital requirements to levels that are not credible. For KBC, the output floor is calculated daily and monitored closely. If our model-based requirements ever approached the floor threshold, that would trigger immediate review and escalation.

6. Operational Risk — Accounting for Things Going Wrong

Not all risk is credit risk. Systems can fail, processes can break down, people can make mistakes, or external events can cause disruption. These are operational risks, and KBC holds capital against them. KBC calculates its operational risk capital based on the scale of its business activities. This is one of the reasons why operational resilience — running our operations well, with robust controls — is not just a compliance matter, but a financial one.

7. Capital Planning and Stress Testing

Every year, KBC submits an Internal Capital Adequacy Assessment Process (ICAAP) to our supervisors. This document sets out how we have assessed our capital adequacy and includes stress tests — scenarios modelling what would happen to our capital position if things went wrong: a severe recession, a sharp fall in property values, or a major operational failure.

The purpose is not to demonstrate that nothing could ever go wrong. It is to demonstrate that even in adverse scenarios, KBC would remain financially resilient. Our capital targets are set with meaningful buffers above regulatory minimums to ensure headroom in difficult times.

8. Your Role in Maintaining Capital Adequacy

If you work in credit origination, financial reporting, or risk management, your work directly affects KBC's capital position. This means:

- Credit decisions must reflect the genuine risk profile of the exposure. Never understate risk to make a deal work.
- Financial data feeding capital calculations must be accurate and complete.
- If you believe capital calculations may be inaccurate or risk is being systematically understated, raise it.

9. Getting Help

- **Group CRO / CFO Office** — for capital adequacy questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually, or following significant supervisory feedback or a material change in KBC's capital position.